

375-870 How this Subdivision applies to partners and partnerships

Application

- (1) This section applies to allocate to you, for the purposes of this Subdivision, money paid for *shares issued by a *FLIC during an income year if:
 - (a) you are a partner in a partnership; and
 - (b) the shares have been issued to you and your partners jointly; and
 - (c) the partnership has paid for the shares.

Allocation of payments to partners

- (2) For the purposes of this Subdivision, you are taken to have paid for the shares during that income year:
 - (a) the amount of the payment for the *shares that the partners agreed is attributable to you; or
 - (b) if there was no such agreement—the proportion of the payment for the shares that is equal to the proportion of your individual interest in the net income or partnership loss of the partnership for that income year.

This Subdivision does not apply to net income or partnership loss

- (3) Disregard this Subdivision when working out the net income or partnership loss of the partnership under section 90 of the *Income Tax Assessment Act 1936*.

Provisions affecting film licensed investment companies

375-875 Tax losses cannot be transferred to or from FLICs

- (1) A *FLIC cannot transfer to another company a *tax loss or a *net capital loss for an income year if the FLIC's concessional capital licence is in force during some or all of that income year.

- (2) A company cannot transfer to a *FLIC a *tax loss or a *net capital loss for an income year if the FLIC's concessional capital licence is in force during some or all of that income year.

Note 1: A FLIC's concessional capital licence is granted under the *Film Licensed Investment Company Act 1998*.

Note 2: These 2 rules are exceptions to the general rules about transfer of losses between companies in Subdivisions 170-A and 170-B.

375-880 FLIC cannot claim deductions for concessional capital

- (1) If a *FLIC has spent an amount of *FLIC concessional capital in respect of a film, the FLIC cannot deduct the amount under this Act.
- (2) ***FLIC concessional capital*** means money paid to the FLIC by a person for the issue, during the period the FLIC's concessional capital licence is in force, of *shares to that person.

[The next Division is Division 385.]

Part 2—Consequential amendments

Income Tax Assessment Act 1997

3 Section 12-5 (table item headed “shares”)

After:

employee share acquisition schemes, deduction for provider of
qualifying shares or rights **139DC**

insert:

film licensed investment companies, deduction for Subdivision
subscription for shares in 375-H

4 Section 12-5 (after the table item headed “film income”)

Insert:

film licensed investment companies (FLICs)
see *shares*

5 Section 40-30 (before the table item dealing with films, Australian)

Insert:

Film licensed investment companies	Money paid for issue of shares in a film licensed investment company	Any entity	Immediate 100% write off	See Parts 3-1 and 3-3 (CGT)	Subdivision 375-H
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6 At the end of section 170-5

Add:

Note: This Subdivision does not apply in some circumstances involving film
licensed investment companies. These circumstances are set out in
Subdivision 375-H.

7 At the end of section 170-105

Add:

Note: This Subdivision does not apply in some circumstances involving film licensed investment companies. These circumstances are set out in Subdivision 375-H.

8 Subsection 995-1(1)

Insert:

Arts Minister means the Minister administering the *Film Licensed Investment Company Act 1998*.

9 Subsection 995-1(1)

Insert:

film licensed investment company has the meaning given by section 375-855.

10 Subsection 995-1(1)

Insert:

FLIC (film licensed investment company) has the meaning given by section 375-855.

11 Subsection 995-1(1)

Insert:

FLIC concessional capital has the meaning given by section 375-880.

*[Minister's second reading speech made in—
House of Representatives on 11 November 1998
Senate on 23 November 1998]*

(150/98)

*Taxation Laws Amendment (Film Licensed Investment Company) Act 1998 Amendment from
Act No. 57 of 2002 1*